



Selling Your Business

There may come a time when you choose to sell your business. This is likely to be a difficult decision, but with careful planning and research, you can make the process as smooth—and as profitable—as possible.

Organizing the sale

Selling your business depends on you being able to convincingly state why you are selling. You may be retiring, taking up another opportunity, or perhaps splitting with partners and making a fresh start—all plausible reasons that are easy to convey. Be honest with all parties about your finances to encourage trust; if your business has not made a profit, call it a going-out-of-business sale to encourage a quick transaction.

A broker or agent can help communicate with potential buyers and identify those who are genuine, especially if your business is large or high value. Seek advice from several brokers, and choose one who gives a realistic valuation. Listen to their views, and consider the sales results of similar businesses that have recently sold, or the cost of those on the market currently, and any local factors that may impact price. For example, if your business is a burger bar and a new university is about to open in the neighborhood, use this information to support your asking price.

Choosing when to sell

Industry estimates put the average selling time for a business at six months to a year, so it is not worth rushing—advance planning and patience will maximize your chances of success. If potential buyers feel you are desperate to sell, you are unlikely to achieve a good price. Seasonal timing may also be important for introducing your listing to the market. For example, an ice-cream business will logically attract more attention in summer than in winter.

Preparing to sell

It is essential that you prepare thoroughly for a commercial sale. Think about how to improve sales revenue well in advance. Decide whether you will manage the process yourself or engage a broker. Research your market, prepare financial figures, and develop a pitch. This will set you up with the best chance of attracting a committed buyer.

DUE DILIGENCE

In the world of commercial transactions, “due diligence” is the term used for a review of the financial records of a business. Carried out before a contract is signed, it helps the buyer identify any risks or problems.

- **Ask potential buyers** to sign a nondisclosure agreement before allowing them access to your business data.
- **Approach the sale** from the buyer’s perspective and prepare an honest analysis of the business.
- **Put together a seller’s pack** with all the financial details the buyer will need to make a decision.
- **Identify your business assets**, liabilities, sales, gross profits, rates of return, accounts receivable, and other key accounting measures.
- **Be ready** for any questions from the buyer, and do not attempt to conceal negative information.

